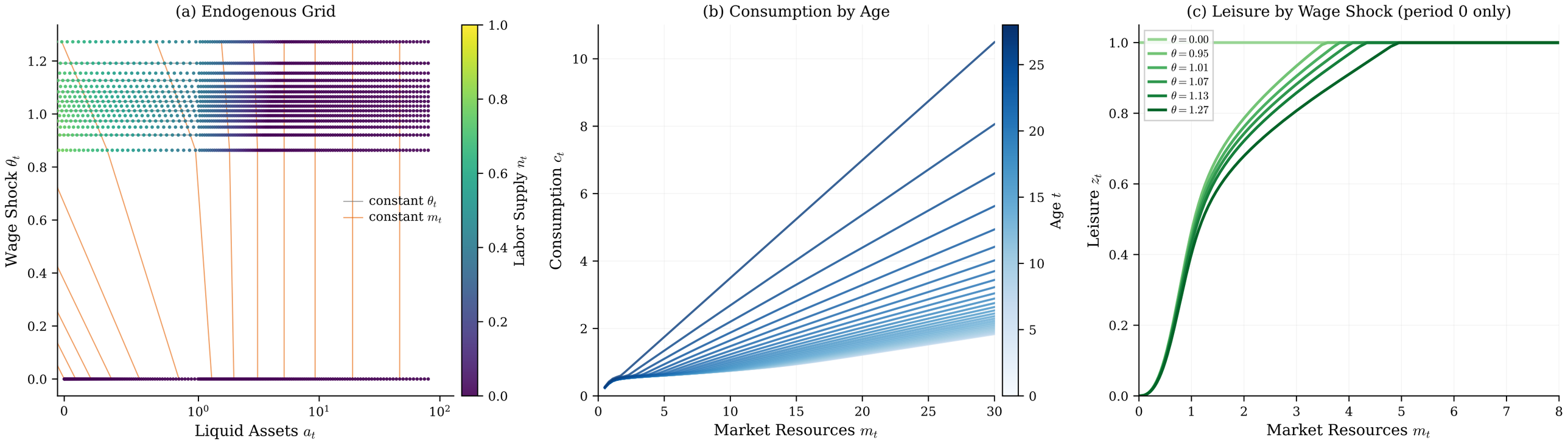

(a) Endogenous Grid
Wage Shock θ_t
Liquid Assets a_t
Labor Supply n_t
constant θ_t
constant m_t
(b) Consumption by Age
Consumption c_t
Market Resources m_t
Age t
(c) Leisure by Wage Shock (period 0 only)
Leisure z_t
Market Resources m_t
$\theta = 0.00$
$\theta = 0.95$
$\theta = 1.01$
$\theta = 1.07$
$\theta = 1.13$
$\theta = 1.27$